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Female directors and impression management in sustainability reporting

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Highlights

- We use an international sample from 2006 to 2014, applying several regression models for panel data.
- We support the existence of positive externalities associated with the presence of women in board positions.
- A greater board gender diversity decreases the risk of impression management strategies on sustainability disclosure.
- The moderating role of institutional factors through the stakeholder orientation of the country of origin is examined.

Abstract

This study proposes a new research approach to examine the relationship between board diversity, in terms of gender differences, and the quality of sustainability reporting, measured by several aspects: balance, conciseness, clarity, comparability and reliability of information. In addition, this study examines the moderating role that institutional factors exert on this relationship through the

stakeholder orientation of the country of origin. The research questions are examined using an international sample of 273 firm-year observations from 2006 to 2014, applying several regression models for panel data. Our evidence is consistent with the existence of positive externalities associated with the presence of women in supervisory and senior management positions. That is, we evidence how boards with greater female representation decrease the risk of impression management strategies on sustainability disclosure. Female directors are positively associated with more balanced, comparable and reliable information; although, they are also associated with less precise and clear information, given their narrative character. Moreover, evidence reports that these effects are greater in firms located in more stakeholder-oriented countries. Results are robust for alternative gender diversity measures.

Introduction

Sustainability or corporate social responsibility (CSR) reports can be conceptualised as documents intended to inform all stakeholders of the economic, social and environmental impacts of corporate performance, with respect to a given period of time. The term ‘CSR reports’ refers to a broad and diverse array of disclosures, including labour practices and relations, supplier and customer interactions, community activities, charitable contributions and the effect of the company’s products on consumer health and safety (Williams, 1999). These disclosures represent the management’s communication with its stakeholder groups on issues that exceed the information disclosed by company profits alone (Gray, Kouhy, & Lavers, 1995)—providing information on how the profits are being generated (Williams, 1999).

These reports, therefore, represent a dissemination tool for managers to communicate the sustainable performance of their firms—being visible to the different stakeholders. It is precisely this visibility that allows a reduction in informational asymmetries between managers and investors, which affects the decision-making process (Martínez-Ferrero, Rodríguez-Ariza, & García-Sánchez, 2016; Martínez-Ferrero, Villarón-Peramato, & García-Sánchez, 2017). At the same time, however, these reports can be conceptualised as a result of opportunistic behaviour, by which managers can disclose biased information, which has been labelled as ‘impression management’ in the literature (Cho, Michelon, & Patten, 2012; Michelon, Pilonato, & Ricceri, 2015). In other words, management is involved in including impression management into CSR reports in order to manipulate the perceptions of the different stakeholders, assuming that they do not detect these discretionary behaviours (Merkel-Davies et al., 2011).

In this sustainable disclosure context, impression management is considered by previous studies as any strategy that aims to manipulate the perceptions of internal and external users of sustainability information—shareholders, investors, customers, employees and others—and affect the decision-making of these users (Yuthas, Rogers, & Dillard, 2002). Under the impression management approach, managerial participation in decision-making about sustainable reporting is clear.

Impression management strategies represent a dramatic and growing opportunity for managers. Because sustainability reports contain narrative information that is increasingly long, sophisticated and complex, they increase the chance for opportunistic discretionary disclosure; in this way, managers seek to mask and hide weak socially responsible results and, thereby, reduce the risk associated with such performance (Wood, 1991). Ameer and Othman (2012) point out, in this respect, that low socially responsible performance has consequences that include a loss of image and reputation, conflict in the hiring process, litigation, a loss of customer satisfaction and a decrease in market value.

Under the use of voluntary CSR disclosure for impression management, in this paper, we examine the existence of internal control mechanisms of corporate governance that constrain those discretionary CSR disclosures that influence stakeholders' perceptions about the sustainable performance of a firm. Concretely, and taking into consideration the main role of board diversity on sustainable transparency over other aspects, such as independence (Prado-Lorenzo & Garcia-Sanchez, 2010), we specifically focus on examining the female role in constraining impression management in CSR disclosures.

Some authors have examined the role of board independence and disclosure policies. For example, analysing an Australian sample of firms, Mather and Ramsay (2007) evidence weak impression management in stronger boards of directors associated with greater independence of their members. Meanwhile, other studies highlight the powerful monitoring and supervisory role of the board over managerial decisions in order to constrain impression management strategies associated with narrative information. Recently, Arena, Bozzolan, and Michelon, (2015) document that impression management depends on board characteristics and stakeholder orientation, which influence the optimistic tone in environmental disclosure and the subsequent performance.

Nonetheless, despite recent attempts by academics and researchers to promote greater board diversity, little seems to be known about the characteristics of women who influence the quality of CSR information. Although it is true that a number of studies show the impact of female directors on accounting conservatism and income quality (García-Sánchez, Martínez-Ferrero, & García-Meca, 2017) or on the comparability of CSR information in different settings (Prado-Lorenzo & Garcia-Sanchez, 2010), this study aims to respond to the gap in the literature by examining female directors' influence on the quality of information about CSR. As the social identity theory posits, an individual's performance is affected by the belonging to a particular social group (e.g., race, gender, etc.).

In addition, as complementary evidence, we examine the previous relationships attending to the level of stakeholder orientation of the country of origin. At this respect, the examination of this objective responds to the research demand of Prado-Lorenzo and Garcia-Sanchez (2010) and García-Sánchez, Cuadrado-Ballesteros, and Frias-Aceituno (2016), who suggest that the role of women directors in impression management must be influenced by the macro context in which the firm operates.

To answer our research question, we make use of an international database: comprising of 273 firm-year observations of international-listed firms from 12 countries for the period 2006–2014. Different regression models are examined according to the nature of the dependent variables, using logit regressions and the Generalised Method of Moments (GMM) estimator of Arellano and Bond (1991)—according to the dependent variable examined. Methodologically, we employ an empirical approach based on the General Reporting Initiative (GRI) and textual analysis of the information contained in sustainability reports. We also identify specific textual attributes that distinguish the concept of balance (captured by tone), conciseness and clarity (measured by length and readability), comparability (measured by the importance of quantitative data) and reliability (measured by an assurance report).

Our empirical evidence highlights that the presence of a greater number of women on the board is associated with a lower use of impression management. In accordance with the social identity theory, we find that boards with more female directors are more oriented towards decreasing the complexity of CSR disclosures, reporting more quantitative formation and lowering the tone of optimism. Moreover, female directors show a greater orientation towards the provision of assurance statements in CSR reports in order to increase their credibility (Fernandez-Feijoo, Romero, & Ruiz-Blanco, 2014). However, it must be noted that boards that are more diverse disclose CSR reports of greater length, given the narrative stereotype of the female (Kouzes & Posner, 1990). Results are robust for alternative gender diversity measures, concretely, by using the Blau (1977) index as a measure of female directors. In addition, our conclusions support the moderating effect of stakeholder orientation; that is, the high quality of CSR information in boards with a greater female presence is even more evident in countries that are more stakeholder-oriented. Overall, our evidence is consistent with the existence of positive externalities associated with the presence of women in supervisory and senior management positions.

The remainder of the paper is structured as follows. Section 2 summarises the most relevant literature: underpinning the proposed hypotheses. Section 3 describes the research model, data and sample. Section 4 presents the empirical results, while the findings and the main conclusions are discussed and addressed, respectively, in Section 5.

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Section snippets

Background and research questions

Recent years have seen a notable increase in the use of sustainability reports as a tool for greater corporate transparency and accountability (Dhaliwal, Radhakrishnan, Tsang, & Yang, 2012). These reports encompass the ethical, social and environmental dimensions of a company's operations (Martínez-Ferrero et al., 2016), with the aim of achieving several benefits that result in an increase in market value (Clarkson, Fang, Li, & Richardson, 2013; Dhaliwal et al., 2012; Martínez-Ferrero et al., ...

Sample selection and data collection

The data for this study are the result of a combination of information available in two databases—Thomson Reuters Eikon and Ethical Investment Research Services (EIRIS)—from 2006 to 2014, the period to which we have access. The sample for analysis was obtained in several steps. Firstly, archival data were collected from Thomson Reuters Eikon, a database that compiles company information about business classification, balance sheets, income and cash flow statements, stock data, global ratios, ...

Descriptive results

Table 1 reports some descriptive statistics (i.e., mean and standard deviation) and correlations for all the analysed variables, except for the industry, year and country dummies used in the model analysis. The correlation matrix shows low or moderate correlation among variables; in no case are high values obtained for the coefficients between the dependent and independent variables, or between the independent variables. To corroborate the absence of multicollinearity among variables for each ...

Conclusions

Using the lens of impression management strategy, this paper examines the controlling and monitoring role of female directors in the managerial manipulation of the decision-making process that is related to the quality of CSR information reported—that is, the influence of women on the quality of sustainability information, in terms of balance, conciseness, clarity, comparability and reliability. In addition, this paper examines the moderating role that institutional factors exert in this ...

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